High-Yield Revision Sheet: Economic Reforms Since 1991

Subject: Indian Economic Development | NCERT Class 11 Ch. 3 | UPSC & State PSC Core

⚡ 30-Second Snapshot

- India launched the **New Economic Policy (NEP) in 1991** following a severe Balance of Payments crisis that left foreign exchange reserves insufficient to cover two weeks of imports.
- Supported by a 7 billion dollar loan from the **IMF and World Bank**, the government implemented short-term **Stabilisation Measures** alongside long-term **Structural Reforms** under the **LPG (Liberalisation, Privatisation, Globalisation)** framework.
- **Liberalisation** dismantled the Industrial License Raj, opened banking to private capital with foreign equity caps up to 74 percent, and replaced import quotas with tariffs.
- **Privatisation** introduced equity disinvestment in public sector units and granted commercial autonomy via **Maharatna, Navratna, and Miniratna** classifications.
- **Globalisation** turned India into a premier hub for **IT-BPO outsourcing**, supported by low-cost skilled technical labor and rapid improvements in telecommunications.
- While post-1991 GDP growth accelerated significantly, it was driven largely by **services**, with agriculture facing slower growth and manufacturing showing high volatility.

🏛 The LPG Reform Architecture: Core Pillars & Policy Shifts

Reform Domain	Pre-1991 Inward-Looking Framework	Post-1991 LPG Structural Transition	Macroeconomic Objective
Industrial Regulation	Pervasive licensing requirements, strict production caps, and widespread small-scale industry reservations.	Licensing abolished for nearly all industries; small-scale reservations removed; state monopoly narrowed to atomic energy and core rail.	Lower entry barriers, foster domestic competition, and encourage capacity expansion.
Financial System	The RBI acted as an authoritative administrative controller setting interest rates, branch openings, and cash reserve mandates.	The RBI shifted toward a market facilitator; private domestic and foreign banks entered; foreign bank equity permitted up to 74 percent.	Improve financial intermediation efficiency and channel private capital to productive sectors.
External Trade	Heavy import tariffs, strict import licensing, quantitative import quotas, and export taxes to protect domestic firms.	Quantitative import quotas eliminated; import licensing dismantled; basic customs duties reduced; export taxes abolished.	Integrate domestic manufacturing into global value chains and transition toward export orientation.
Foreign Exchange	Fixed exchange rate pegged to a currency basket; strict central bank rationing of all foreign currency transactions.	Two-step currency devaluation in July 1991 followed by transition to a market-driven Managed Floating exchange rate regime.	Restore external account stability, encourage capital inflows, and boost export competitiveness.
Public Enterprise	Dominant presence across the commanding heights; persistent public bailouts for chronically loss-making units.	Strategic equity disinvestment; classification into Maharatna, Navratna, and Miniratna tiers with broad operational autonomy.	Enforce commercial market discipline and mobilize non-debt capital receipts for the state.

⚖ Outsourcing Growth & The WTO Framework

- **The IT-BPO Outsourcing Boom:**
  - Global firms began contracting services previously managed in-house to third-party providers abroad.
  - India emerged as the leading global outsourcing destination for call centers, software engineering, legal transcription, financial accounting, and medical billing.
  - Competitive advantages: Low wage costs, a vast pool of English-speaking technical talent, and global time-zone differences enabling continuous business workflows.
  - Outward expansion: Leading domestic firms grew into global multinationals (e.g., ONGC Videsh, Tata Steel, HCL Technologies, Dr. Reddy's Laboratories).
- **The World Trade Organisation (WTO):**
  - Formed on January 1, 1995, succeeding the General Agreement on Tariffs and Trade (GATT, founded 1948).
  - Administers a rule-based multilateral framework covering both physical merchandise and cross-border trade in services.
  - The Developing Nation Challenge: Developing countries cut tariffs and dismantled quantitative import restrictions as agreed, while advanced economies preserved high domestic agricultural subsidies, artificially depressing world commodity prices.

⚠ Common UPSC Exam Traps

- **Trap 1 (Stabilisation vs. Structural Reforms):** Short-term currency devaluations, fiscal deficit cuts, and emergency import curbs are **stabilisation measures** aimed at cooling inflation and restoring foreign exchange reserves. Long-term deregulation of industry, trade tariff cuts, and public disinvestment are **structural reform measures** aimed at supply-side efficiency.
- **Trap 2 (Extent of Public Sector Monopoly):** The 1991 reforms did not abolish all public sector reservations. Strategic areas—specifically atomic energy generation and core operational railway transport—were retained under exclusive state control.
- **Trap 3 (Private Banking Foreign Equity Ceiling):** The maximum permissible foreign investment limit (FDI and FII combined) in private Indian banking was raised up to 74 percent, not 100 percent.
- **Trap 4 (Sectoral Growth Inequity):** Post-1991 economic expansion was not evenly spread across all sectors. The service sector grew rapidly, while agricultural growth slowed due to reduced public capital investment, and manufacturing experienced persistent growth fluctuations.

🎯 High-Yield Facts Box

Parameter / Concept	Operational Benchmark	Policy & Governance Relevance
Foreign Exchange Crisis	Reserves fell below two weeks of imports	Immediate trigger that forced the launch of the New Economic Policy in 1991.
Multilateral Assistance	7 billion dollar loan package from IMF and World Bank	Financial support that required structural economic adjustment as a lending condition.
Banking Deregulation	Foreign equity permitted up to 74 percent	Encouraged private domestic and international banks to expand modern digital banking.
Quantitative Quotas	Fully phased out by April 2001	Ended quantitative trade limits on imported consumer goods and farm commodities.
FDI-FII Expansion	Grew from 100 million US dollars (1990-91) to tens of billions	Strengthened foreign exchange reserves and integrated India with global capital flows.

📝 Prelims Practice Challenge

Q1. Consider the following policy initiatives introduced under the New Economic Policy of 1991:

1. Complete abolition of industrial licensing requirements across every industrial manufacturing category without exception.
2. Progressive transition of the Reserve Bank of India's role from an authoritative controller to a market facilitator.
3. Full removal of quantitative quotas and import restrictions on manufactured consumer goods and agricultural products.

Which of the statements given above are correct?

- (A) 1 and 2 only
- (B) 2 and 3 only
- (C) 1 and 3 only
- (D) 1, 2, and 3

> **Answer: (B) 2 and 3 only**
> **Explanation:** Statement 1 is incorrect because industrial licensing was retained for a small set of sensitive and hazardous sectors, including alcohol, cigarettes, hazardous chemicals, and aerospace. Statement 2 is correct because financial sector reforms gave commercial banks greater operational autonomy while shifting the central bank to a supervisory and facilitating role. Statement 3 is correct because quantitative import restrictions were systematically removed, concluding with consumer goods and farm products by April 2001.

Q2. Consider the following statements regarding disinvestment and public sector reforms post-1991:

1. The primary purpose of government disinvestment is to convert public debt into equity held exclusively by international development banks.
2. Granting Maharatna and Navratna status provides well-performing Central Public Sector Enterprises with operational autonomy and higher capital expenditure authority.

Which of the statements given above is/are correct?

- (A) 1 only
- (B) 2 only
- (C) Both 1 and 2
- (D) Neither 1 nor 2

> **Answer: (B) 2 only**
> **Explanation:** Statement 1 is incorrect because disinvestment involves selling a portion of government equity to private investors and the public to improve corporate governance, modernize operations, and generate non-

debt capital receipts, not to convert debt for multilateral development banks. Statement 2 is correct because the Maharatna, Navratna, and Miniratna frameworks were specifically designed to give competitive public enterprises the financial and operational autonomy needed to compete in liberalized markets.

✏️ Mains Practice Question (10 Marks / 150 Words)

Question: *"Critically examine how the economic reforms of 1991 transformed India's external trade and industrial sectors. Why did post-reform macroeconomic growth remain largely skewed in favor of the services sector?"*

Structured Answer Framework:

- **Introduction (25–30 words):**
  The New Economic Policy of 1991 marked a transition from an inward-looking, license-bound economy to an open, market-oriented system through Liberalisation, Privatisation, and Globalisation (LPG).
- **Body Arguments (80–90 words):**
  - *Industrial & Trade Modernization:* Dismantling the Industrial License Raj, ending quantitative import quotas, and reducing customs tariffs exposed domestic manufacturing to international competition, encouraging product diversification and modern business practices.
  - *Foreign Exchange & Investment Surges:* Devaluing the rupee and shifting to a managed floating regime stabilized the external sector, driving foreign investment inflows from 100 million US dollars in 1990-91 to tens of billions.
  - *The Service Sector Skew:* Growth concentrated heavily in the services sector (software, IT-enabled services, financial services, communications), supported by a large pool of skilled, English-speaking professionals, competitive wages, and global outsourcing demand.
  - *Manufacturing & Farm Bottlenecks:* Industrial manufacturing faced structural hurdles, including high logistics costs and rigid labor rules, while agriculture experienced declining public capital formation in irrigation and storage.
- **Conclusion / Way Forward (25–30 words):**
  Achieving balanced economic growth requires targeted public capital expenditure in rural infrastructure and policy reforms that support labor-intensive manufacturing to absorb surplus labor.

✍ Notes & Updates